

Overview of the student loan scheme [18-010]

[18-010]

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The Student Loan Scheme Act 2011 (SLSA 2011) governs the administration of student loans and how borrowers manage and repay their loans. The student loan scheme provides for the payment of compulsory fees, course-related costs and living costs ([18-015](#)).

A student will be eligible for a student loan if they are a New Zealand citizen, a permanent resident or a refugee, and enrolled in a Tertiary Education Commission approved course ([18-020](#)).

Whether a borrower is based in New Zealand or overseas will determine the type of repayment obligations that apply ([18-025](#) and [18-030](#)).

Repayment obligations depend on the type of income the borrower has. Methods for repayment differ according to whether the borrower earns a salary or wages, pre-taxed income (eg dividends or interest) and/or other income (eg rental income).

Loan repayments for salary and wages earners are deducted by the employer based on the pay period repayment threshold and paid to Inland Revenue (IR) on behalf of the borrower. Deductions are made at a rate of 12% of any income over the repayment threshold. Repayment is not required if income is below the threshold. The threshold for the 2025–26 income year is \$24,128 ([18-040](#)).

Unless there is a significant over- or under-deduction, the borrower's repayment deductions are considered final and there is usually no need for an annual assessment. Annual assessments may be required if the borrower has income from other sources such as interest, dividends, rental or business income.

If there is a significant under-deduction, IR may require the employer to make “catch-up” deductions from the borrower's future salary or wages. For significant over-deductions, the borrower can either request a refund or have this applied to their loan balance ([18-065](#)).

A borrower that derives income from secondary employment may apply to transfer any unused repayment threshold from their primary employment to their secondary employment.

Borrowers who are full-time students and earn less than the annual repayment threshold can apply to be exempt from repayment deductions from their salary or wages and are not required to file an income tax return ([18-060](#)).

The New Zealand Customs Service and IR can exchange information under an information matching programme for the purposes of verifying whether borrowers are based overseas or in New Zealand ([18-095](#)).

Late payment interest is charged where a borrower has failed to pay an amount by the due date ([18-100](#)). If a borrower takes an incorrect tax position, they may be liable for a shortfall penalty ([18-105](#)). If a borrower wilfully or negligently fails to provide information to IR, penalties for criminal offences may apply ([18-110](#)).

Last reviewed on 31 December 2025

Student loan – what can you get? [¶8-015]

[¶8-015]

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The student loan scheme provides for the payment of:

- # *compulsory course fees* — paid on enrolment (excluding late enrolment fees or administration charges for instalment payments)

- # *course-related costs* — a maximum of \$1,000 a year for full-time full-year courses for course-related costs such as equipment, textbooks, etc, and

- # *living costs after tax* — a maximum of \$323.43 per week of study (less any student allowances).

A new loan is required for each new course and loan accounts run for 52 weeks. Each new loan account has an establishment fee of \$60 added to the loan plus an administration fee of \$40 per year (where no establishment fee has been paid in the same year in respect of that loan).

Last reviewed on 31 December 2025

Eligibility for a student loan [¶8-020]

[¶8-020]

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A student will be eligible for a student loan if they are either:

- # a New Zealand citizen, or
- # ordinarily resident in New Zealand and:
 - # have lived in New Zealand for at least 3 years while holding a residence class visa, or
 - # have a Christchurch Response 2019 Permanent Resident Visa, or
 - # are on an Afghan Emergency Resettlement Visa (for study commencing on or after 1 January 2022), or
 - # are a refugee or protected person (under the Immigration Act 2009), or
 - # are sponsored into New Zealand by someone in their family who, at the time they were sponsored, was a refugee or protected person.

In addition, the student must be enrolled in a Tertiary Education Commission approved course. The course must be:

- # full time (or limited full time with the Ministry of Social Development's approval), or
- # a part-time programme of at least 32 weeks (to get a loan for compulsory fees and course-related costs only), or
- # part time, less than 32 weeks and at least 0.25 Equivalent Full-Time Student (EFTS) (to get a student loan for compulsory fees only).

A year of full-time study is usually between 0.8 EFTS and 1.2 EFTS.

Not able to obtain a student loan?

Some situations where students will not be able to obtain either all or part of a student loan include:

- # students under 18 years studying in a fees-free level 1 or 2 qualification or Youth Guarantee programme. Students over 18 in these circumstances can get a loan for course-related costs and living costs
- # undischarged bankrupt students
- # students who are \$500 or more in default (including all repayment obligations, late payment interest, penalties and amounts under instalment arrangements) for a year or more
- # students who will be eligible for a loan for compulsory fees and course-related costs only (ie no loan available for living costs) if the student or their partner receives certain benefits from Work and Income New Zealand
- # students who are 55 or over will only be eligible for a loan for compulsory course fees
- # students in prison are eligible for a loan for compulsory fees and course-related costs
- # students wishing to reapply for a student loan for subsequent years will need to pass at least half of all the EFTS of all previous study to be eligible.

Last reviewed on 31 December 2025

How long can you get a student loan for? [¶8-022]

[¶8-022]

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Each new course requires a new loan and loan accounts run for 52 weeks.

There is a lifetime limit of 7 EFTS for student loans.

Full-time students usually have study loads of between 0.8 EFTS and 1.2 EFTS per a year. For a full-time student, 7 EFTS is equal to about 7 or 8 years of study. Part-time students use less EFTS each year.

Once any part of the student loan is used for living costs, fees or course-related costs, the EFTS for that loan will count towards the 7-EFTS limit.

A student can use more than 7 EFTS (eg post-graduate study); however, most students will not be able to receive more than 10 EFTS of student loan entitlements.

Last reviewed on 31 December 2025

New Zealand-based borrowers under student loan scheme [¶8-025]

[¶8-025]

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Different repayment obligations apply to borrowers depending on whether they are based in New Zealand or overseas ([¶8-040](#) and [¶8-045](#)).

A borrower will be treated as New Zealand-based where they are physically in New Zealand (or treated as being physically in New Zealand) for a period of 183 consecutive days. If a borrower leaves the country during the 183-day period they will remain New Zealand-based provided they are not absent for more than a total of 31 days and they are physically present on the first day of that 183-day period.

Under s [22\(2\)](#) a period of 183 consecutive days may include any days before the day on which a person becomes a borrower.

A borrower is treated as being New Zealand-based from the later of the day they became a borrower and the first day of the 183-day period.

Borrowers treated as being physically in New Zealand

A borrower may be treated as being physically present in New Zealand if the Commissioner considers it is fair and reasonable to do so because the borrower:

- (a) is in the service of the New Zealand Government
- (b) is working as a volunteer or for token payment for a charity
- (c) has an unexpected delay
- (d) has an unplanned personal absence
- (e) is required to be overseas because of the borrower's employment or occupation
- (f) is accompanying their spouse, civil union or de facto partner overseas
- (g) is undertaking overseas study or an internship that meets the criteria of cl [7](#), [8](#), [9](#), [9A](#) or [9B](#) of Sch [1](#) of the SLSA 2011
- (h) is in Niue, the Cook Islands, Tokelau or the Ross Dependency, or
- (i) has a serious illness as defined in s [25\(4\)](#) and is unable to meet their repayment obligations.

Other than for the serious illness exception, the specific criteria that must be satisfied for the above exceptions are detailed in Sch [1](#) of the SLSA 2011 ([¶8-130–¶8-165](#)).

Interpretation statement, [IS 25/20](#), "Student Loans – Overseas borrowers and their obligations" sets out the rules for determining when a borrower will be considered as a New Zealand-based or an overseas-based borrower and includes illustrative examples. The statement also discusses the significance of tax residency when determining the status of the borrower.

An overseas-based borrower who is physically in New Zealand must, as soon as practicable after becoming New Zealand-based or aware they will be New Zealand-based, notify the Commissioner of the date they returned to New Zealand and provide supporting documentation to the Commissioner to determine whether the borrower should now be treated as New Zealand-based (s [29](#)).

Law: SLSA 2011 ss [21–29](#)

Last reviewed on 31 December 2025

Overseas-based borrowers under student loan scheme

[18-030]

[18-030]

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A person will be overseas-based if they are not treated as being New Zealand-based. A New Zealand-based borrower who is physically absent, or treated as physically absent, from New Zealand for 184 days or more consecutively will be treated as an overseas borrower. Where a borrower returns to New Zealand within the 184-day period they will remain overseas-based providing they are not physically present in New Zealand for a period exceeding 31 days in total. See Examples 7 and 8 in [IS 25/20](#).

There is a tie-breaker provision that ensures a borrower cannot be treated as absent from New Zealand for the purposes of the 184-day test for any day on which they are treated as being physically present in New Zealand under s [22](#) ([18-025](#)). Thus, borrowers who return to New Zealand after being overseas for less than 6 months will not become overseas-based borrowers.

It is important to note that under s [23\(2\)](#) the 184-day period can begin before the person becomes a borrower. A borrower will be treated as being overseas-based from the later of the day they became a borrower and the first day of the 184-day period.

Borrowers can use the myIR tool to calculate if their travel dates will result in them becoming overseas-based.

Notice to IR of absences exceeding 183 days

Borrowers going overseas for more than 6 months must notify IR of:

one of the following ways for the Commissioner to notify the borrower:

- (i) a permanent overseas postal address, or
 - (ii) a New Zealand postal address, or
 - (iii) the name and New Zealand postal address of a person empowered to act for the borrower.
- # an electronic means of communication prescribed by the Commissioner, most likely an email address.

any information the Commissioner requires to determine the borrower's repayment and interest liability obligations.

Under s [28\(2\)](#), a borrower who leaves without notifying the Commissioner must provide the same information listed above and the date of departure from New Zealand as soon as practicable after they become overseas-based or aware they will be overseas-based.

There is also a requirement for a borrower to provide prompt notification to the Commissioner where there is a change of their contact details (s [28\(3\)](#) or s [193C](#)).

For discussion on loan repayment obligations of overseas-based borrowers and temporary repayment suspensions, refer to [18-045](#) and [18-050](#).

Law: SLSA 2011 ss [21–29](#), [193C](#)

Last reviewed on 31 December 2025

Interest liability on a student loan [¶8-035]

[¶8-035]

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Interest is only imposed on loan balances of overseas-based borrowers.

Interest is applied to the student loan from the first day on which the borrower is overseas-based and is calculated daily on the loan balance at the current interest rate. Interest only compounds on 31 March of each year. The Commissioner is required to notify the borrower in writing of the amount of interest charged after interest is added to the borrower's loan balance.

For the 2025–26 income year the interest rate is 4.9% (3.3% pa for the 2024–2025 tax year).

Example:

Rose is an overseas-based borrower and not on a repayment holiday. Rose's loan balance at 1 April 2024 is \$15,000. Rose will be required to pay \$1,000 in 2 instalments to meet her overseas-based repayment obligation. She pays the first amount on its due date (30 September), but pays the second amount early on 1 March (instead of its due date of 31 March). She also makes one voluntary repayment on 30 September. In the following year she makes the 2 instalments, and no voluntary payments.

Date paid	Repayment	Amount
30 September 2024	Repayment obligation payment	\$500
30 September 2024	Voluntary repayment	\$400
1 March 2025	Repayment obligation payment	\$500
30 September 2025	Repayment obligation payment	\$500
1 March 2026	Repayment obligation payment	\$500

Each time Rose makes a repayment a new daily interest calculation starts.

Rose's interest calculation from 1 April 2024 to 30 September 2024:

$$(\$15,000 \times 3.3\%) \times (183/365) = \$248.18.$$

Note: For the purpose of calculating interest for the rest of the income year, the interest of \$248.18 to 30 September is not added to Rose's loan balance yet. If Rose checks her balance she will see this interest on her loan.

Rose's interest calculation from 1 October 2024 to 1 March 2025:

$$((\$15,000 \text{ # } \$900) \times 3.3\%) \times (152/365) = \$193.77.$$

Note: Rose's loan balance for this daily interest calculation is now \$14,100 (\$15,000 # \$900).

Rose's interest calculation from 2 March 2025 to 31 March 2025:

$$((\$14,100 \text{ # } \$500) \times 3.3\%) \times (30/365) = \$36.89.$$

Note: Rose's loan balance for this daily interest calculation is now \$13,600 (\$14,100 # \$500).

Rose's loan balance at the end of the tax year, including her daily interest, is \$14,078.84:

$$(\$13,600 + \$248.18 + \$193.77 + \$36.89).$$

Rose's interest calculation from 1 April 2025 to 30 September 2025:

$$(\$14,078.84 \times 4.9\%) \times (183/365) = \$345.88.$$

Note: For the purpose of calculating interest for the rest of the income year, the interest of \$345.88 to 30 September is not added to Rose's loan balance yet. If Rose checks her balance she will see this interest on her loan.

Rose's interest calculation from 1 October 2025 to 1 March 2026:

$$((\$14,078.84 \text{ # } \$500) \times 4.9\%) \times (153/365) = \$278.91.$$

Note: Rose's loan balance for this daily interest calculation is now \$13,578.84 (\$14,078.84 # \$500).

Rose's interest calculation from 2 March 2026 to 31 March 2026:

$$((\$13,578.84 \# \$500) \times 4.9\%) \times (30/365) = \$54.69.$$

Note: Rose's loan balance for this daily interest calculation is now \$13,078.84 (\$13,578.84 # \$500).

Rose's loan balance at the end of the tax year, including her daily interest, is \$13,758.32:

$$(\$13,078.84 + \$345.88 + \$278.91 + \$54.69).$$

Compound interest

Rose's daily interest for the year is added to her loan balance annually. This means that the balance IR charges interest on for the next tax year includes Rose's previous year's daily interest.

In the example above, Rose's new loan balance for calculating her daily interest, as at 1 April 2026, increases from \$13,078.84 to \$13,758.32.

If Rose was a New Zealand-based borrower, her daily interest totalling \$679.48 would be written off and her loan balance would not be increased by this amount.

Law: SLSA 2011 ss [133–138](#)

Last reviewed on 31 December 2025

Student loan repayment obligations of New Zealand-based borrowers [¶8-040]

[¶8-040]

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New Zealand-based borrowers repay their student loan based on how much they earn. Deductions are only required when the borrower's income exceeds the specified repayment threshold.

For salary and wage earners, loan repayments are deducted directly from their salary or wages.

Tax codes

A borrower earning salary or wages in New Zealand must use tax codes that include the "SL" repayment code, ie the repayment code is combined with the employee tax code. There are 2 exemptions:

- # borrowers who are studying full time and working part time, or
- # borrowers who are receiving a main benefit.

Notice required

A borrower must notify their employer (including a secondary employer) of their student loan as soon as practicable after the time at which the borrower becomes an employee, or the time at which the borrower takes out the loan, whichever is the later. The notice must inform the employer:

- # that student loan repayment deductions must be made from the borrower's salary or wages, and
- # that the tax code prescribed under the PAYE rules should be followed by the repayment code "SL".

A borrower must notify their employer if their repayment code changes.

Deduction rate

When a borrower notifies their employer that student loan repayment deductions must be made, the employer or PAYE intermediary must deduct 12¢ from every dollar earned over the \$24,128 pa threshold from 1 April 2024. This is then paid to IR on the borrower's behalf.

Income other than salary or wages

New Zealand-based borrowers, other than new borrowers, who derive more than \$500 in income other than from salary or wages will have additional repayment obligations. This is calculated by IR after receiving the borrower's return of income, details of the borrower's gross income and gross deductions, or a declaration from the borrower of their adjusted net income (which is their income other than from salary or wages). Losses from investments or business activities are ignored for these purposes. Section 73 and Sch 3 of the SLSA 2011 prescribe what is included when calculating adjusted net income. Note that Sch 3 includes income from a variety of sources within a borrower's net adjusted income, for example, income from certain fringe benefits, pensions and annuities, trusts, PIEs and superannuation schemes.

Voluntary repayments

A student can make voluntary repayments to IR at any time after the loan account transfers to IR.

Repayments must be clearly identified as student loan repayments and should have the student's name and IRD number attached.

A repayment calculator is available on IR's website at ird.govt.nz showing the effect on the amount of interest payable and the term of the loan if voluntary payments are made.

Statement of account

Borrowers can request a statement of account by contacting IR through myIR. See [¶8-115](#) for the disclosure of information rules.

Returns and assessments

The requirements for the furnishing and assessment of returns are the same as those of the Tax Administration Act 1994. If a borrower is required to furnish an annual return, the Commissioner will make an assessment of the borrower's repayment obligation for the year.

The rules for challenging an assessment are also set out in the TAA ([¶4-010](#) et seq).

Law: SLSA 2011 ss [33–38](#), [73](#), Sch [3](#); TAA s [24D](#)

Last reviewed on 31 December 2025

Student loan repayment obligations of overseas-based borrowers [¶8-045]

[¶8-045]

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Overseas-based borrowers are required to make minimum loan repayments, regardless of how much they earn.

Where an overseas-based borrower's temporary repayment suspension ([¶8-050](#)) has ended or if the borrower has opted out of having a temporary repayment suspension, the repayment obligations apply.

The annual repayment must be paid in 2 equal instalments on 30 September and 31 March and borrowers receive an annual assessment notice. The repayment amount on each due date will generally depend on the borrower's consolidated loan balance when they first became an overseas-based borrower. If the total amount payable is not divisible into equal amounts, then the final payment carries the difference (s [112](#)).

Overseas-based borrowers have fixed repayment obligations. Instead of an overseas borrower's repayment obligation decreasing as their loan balance decreases, overseas borrowers have their repayment obligation maintained at the same rate as when they became overseas-based. If a borrower's loan balance increases so that it rises into a higher repayment threshold, the ongoing repayment obligation will be fixed at the new higher threshold. The repayment thresholds are as follows:

Outstanding loan balance as at 31 March	Annual repayment due (payable in 2 equal instalments)
Under \$1,000	Total loan balance
Over \$1,000 and up to \$15,000	\$1,000
Over \$15,000 and up to \$30,000	\$2,000
Over \$30,000 and up to \$45,000	\$3,000
Over \$45,000 and up to \$60,000	\$4,000
Over \$60,000	\$5,000

If the borrower is not overseas-based for the full tax year, a pro-rata repayment amount is calculated in accordance with the formula set out in s [110\(3\)](#). In this case, the instalment dates will be determined by the Commissioner.

A borrower may be liable to pay late payment interest ([¶8-100](#)) if they do not meet the repayment obligations under ss [110–113](#).

It is also a criminal offence for borrowers who are in default of their overseas-based repayment obligations, and who have been notified of this by IR, to knowingly fail or refuse to make reasonable efforts to pay or make arrangements to pay ([¶8-110](#)). IR is then able to apply for an arrest warrant to be issued for borrowers who have committed this offence and are about to leave or attempt to leave New Zealand. The court may make a variety of orders for repayment, including that the borrower not leave New Zealand without the court's permission and that they must surrender their travel documents. Attempting to leave New Zealand when one of these orders is in effect is also a criminal offence.

Law: SLSA 2011 ss [31\(1\)](#), [110–113](#), [162A](#), [162B](#)

Last reviewed on 31 December 2025

Temporary repayment suspension for student loan borrower going overseas [¶8-050]

[¶8-050]

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A borrower who intends going overseas can apply for a temporary repayment suspension of up to 365 days. A temporary repayment suspension means repayment obligations are reduced to zero but interest will still accrue on the loan.

A borrower who intends to be based overseas may apply to the Commissioner for a temporary repayment suspension. The application can be made from New Zealand or from overseas, but no application can be made by an overseas-based borrower (s [107](#)). Therefore, the application should be made within 183 days of leaving New Zealand ([¶8-025](#)).

At the time of making the application the borrower must nominate a contact person who resides in New Zealand. The individual must be prepared to act as the borrower's contact person and the following information about the individual must be provided to the Commissioner:

- # name and a New Zealand postal address
- # an email address and a New Zealand phone number (if applicable)
- # any further information specified in the regulations.

The Commissioner may grant a temporary repayment suspension to a borrower who has completed an acceptable application, provided a contact person (and the required details above) and not reached the borrower's limit.

Under s [107B](#) a borrower who is granted a temporary repayment suspension becomes entitled to that repayment suspension on the day on which the borrower becomes overseas-based.

For overseas-based borrowers who choose to not have a temporary repayment suspension, the usual repayment rules for overseas-based borrowers will apply ([¶8-045](#)).

Law: SLSA 2011 ss [105–108A](#)

Last reviewed on 31 December 2025

Employers' obligations regarding student loans [¶8-055]

[¶8-055]

[Click to open document in a browser](#)

Employers or PAYE intermediaries are required to inform IR of the amount of tax that has been deducted by including the details in their employment income information ([¶13-023](#)). Repayment deductions are made in the same manner as PAYE deductions, ie they are paid by the 20th of the month following the period in which the deduction was made, or the 5th and 20th for large employers ([¶13-020](#) and [¶13-024](#)). Repayment deductions are held in trust for the Crown.

IR also has the power to instruct an employer to make the correct student loan repayment deductions from a borrower's salary or wages.

IR may notify employers of a borrower's remaining loan balance when the borrower's loan is close to being fully repaid. Employers will be instructed to reduce the amount of the final deduction to an amount equal to the remaining loan balance, reducing the likelihood of overpayments being made.

An employer does not have to deduct loan repayments from schedular payments, election-day income or casual agricultural income. However, deductions must be made from extra pays, including lump sum payments and bonuses.

When a change occurs to the rate at which the student loan deductions are required to be deducted from a payment of salary or wages, the deduction rate to be applied is the rate applying on the day on which the salary or wages are paid.

Penalties and offences

Employers' obligations under the SLSA 2011 are generally subject to the compliance standards and penalties imposed under the TAA (Chapter 14). Prejudice against an employee with a student loan is an offence under s [163](#) and an employer is liable on conviction to a fine.

In addition, the court may order the payment of compensation to the borrower (s [163](#) and [¶8-110](#)).

Law: SLSA 2011 ss [36–39](#), [61](#), [62A](#), [70](#), [163](#), Sch [2](#)

Last reviewed on 31 December 2025

Exemption from repayment of student loan for full-time students [¶8-060]

[¶8-060]

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Under s 53 a full-time student is defined as a borrower who is undertaking a programme of study that:

- # is 32 weeks or longer in duration in any 52-week period and at least 0.8 of equivalent full-time student units, or
- # is 12 weeks or longer in duration in any 52-week period and at least 0.3 of equivalent full-time student units. (See s 10(1) of the Education and Training Act 2020 (prior to 1 August 2020, s 159 of the Education Act 1989).)

A full-time student can apply to be exempted from the standard repayment deductions if they reasonably expect that the annual repayment threshold for the income year will not be exceeded by their:

- # gross income from salary or wages, and
- # adjusted net income (if applicable).

Students can obtain the exemption by providing a declaration to the Commissioner specifying the tax year, exemption period and any other prescribed information. Upon receipt of a compliant declaration from a borrower, the Commissioner will issue a notice granting the exemption and specifying the period to which the exemption applies.

Where a borrower's employer is notified in writing that an exemption from standard deductions has been granted to the borrower, then the repayment code "SL" will cease to apply and the employer will not have to make repayment deductions from the later of:

- # the start date of the exemption period specified in the notice, and
- # the date on which the borrower's employer is notified in writing that the exemption has been granted to the borrower.

The application of this exemption is most likely to occur where full-time students work at a part-time or holiday job and earn more than the pay period repayment threshold, ie working 3 months over the summer holiday period, but over the whole year they will actually earn less than the annual repayment threshold.

Law: SLSA 2011 ss [53–60](#)

Last reviewed on 31 December 2025

Over- and under-deductions from student borrower's income [18-065]

[18-065]

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If deductions are not made or incorrectly made from a borrower's salary or wages, IR is not required to take any corrective action unless the error is significant.

Under s [63](#) the Commissioner must determine what the thresholds for significant under- or over-deductions are, taking into account the need to maintain the integrity of the student loan scheme and having regard to the resources available to the Commissioner.

If a borrower reasonably believes that a significant over-deduction has been made from their salary or wages, they may request the Commissioner to determine whether this is the case. Where the Commissioner identifies that a significant over-deduction has been made, the borrower then has 6 months from the date of the confirmation to request a refund (s [65\(2\)](#)).

IR can offset the over-deduction against any under-deduction identified in any tax year, before any refund is made (s [67\(2A\)](#)).

If there is a significant under-deduction, the Commissioner can require additional deductions (Commissioner deductions) be made from the borrower's salary or wages. The Commissioner must issue an additional deduction rate notice that:

- # specifies the deduction rate applicable
- # specifies the total amount payable, and
- # requires the borrower's employer to make Commissioner deductions at the additional deduction rate until those deductions equal the total amount payable (ss [49](#) and [68](#)).

If the Commissioner is satisfied that IR will be unable to obtain additional deductions from the borrower's future salary or wages within a reasonable time, the Commissioner may issue a special assessment of the amount that should have been deducted. Under a special assessment the amount due is payable within 30 days of the date of assessment. In practice, a special assessment might be used in a situation where a borrower has not advised their employer that they are a student loan borrower (ss [2\(4\)](#), [51](#) and [52](#)).

A similar process for the over-deduction of Commissioner deductions applies as for the over-deduction of ordinary repayment deductions. If a borrower reasonably believes that a Commissioner over-deduction was made, they may request the Commissioner to determine if that is the case. For these purposes, a Commissioner over-deduction is a deduction made on or after the date:

- # the Commissioner notifies the borrower's employer or PAYE intermediary to stop making Commissioner deductions, or
- # the Commissioner deductions equal the amount specified in the additional rate notice.

The Commissioner must respond as soon as practicable when an over-deduction has been identified or determined and must notify the borrower of the amount of the over-deduction and that it has been offset against the borrower's consolidated loan balance. The borrower has 6 months from the date of notification to request a refund of the over-deduction. If, however, another shortfall in repayment obligations is concurrently identified, the over-recovered amount will be offset against that shortfall (ss [68A–68C](#)).

Law: SLSA 2011 ss [2\(4\)](#), [51](#), [52](#), [63–68C](#)

Last reviewed on 31 December 2025

Refunds of excess repayments of student loan [¶8-070]

[¶8-070]

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If a New Zealand-based borrower's student loan repayments for any tax year are over the amount actually due, they may claim a refund in respect of that overpayment under s [132](#). This does not apply if the excess repayment is \$5 or less.

The borrower must make an election for the amount of the excess to be either refunded or credited against future repayment obligations. If no election is made for the amount to be refunded, the Commissioner must offset the overpayment against a borrower's student loan balance. Borrowers have 6 months from the later of:

- # the date they are notified of the excess repayment under s [120](#), or
- # the day after the end of the tax year to which the excess repayment relates, or
- # the day after the due date of the final instalment of the borrower's overseas-based repayment obligation

to make such an election.

A refund made under the SLSA 2011 must be made in accordance with s [184A](#) of the TAA. This section stipulates that refunds are made only by direct credit to the borrower's nominated bank account, unless this causes serious hardship or is otherwise impractical. No refund may be made under the SLSA 2011 or the Student Loan Scheme Act 1992 for any amount that was deducted or paid in excess before 1 April 2006 ([Sch 6 cl 13](#)).

Law: SLSA 2011 ss [119–122](#), [131–132](#), [199](#), Sch [6](#); TAA s [184A](#)

Last reviewed on 31 December 2025

Interim loan repayments of student loan [¶8-085]

[¶8-085]

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Under s [79](#) a borrower must make interim repayments of their student loan if:

- # they have an end-of-year repayment obligation for a tax year of \$1,000 or more, or
- # they have not provided a statement of their adjusted net income for a tax year, and the amount of the borrower's end-of-year repayment obligation for the preceding tax year was \$1,000 or more.

Adjusted net income is income other than salary or wages (s [73](#) and Sch [3](#)).

Interim repayments are paid in 3 instalments in the same way and on the same dates as provisional tax. For those provisional taxpayers who do not generally pay provisional tax in 3 instalments, such as those who choose to use the GST ratio method or the AIM method, special provisions ensure 3 relevant instalment dates for interim repayments (s [84\(2\)](#)).

The interim repayment amounts are based on the previous year's residual repayment obligation, increased by 5%. The 3 provisional tax payment dates for a taxpayer with a 31 March balance date are 28 August, 15 January and 7 May ([¶22-012](#)).

Example:

Mihi is a journalist who is paying off her student loan. Her total income for the 2024–25 tax year is \$42,000. Some of Mihi's income is from wages. From this her employer has made repayment deductions totalling \$905.60 during the year.

Total income for the 2024–25 tax year	\$42,000.00
Less repayment threshold	\$24,128.00
Residual balance	\$17,872.00
Multiplied by the repayment percentage	12%
Mihi's student loan assessment	\$2,144.64
Less repayment deductions made in the 2024–25 year	\$905.60
Mihi's residual repayment for 2024–25	\$1,239.04
Plus 5% of residual payment	\$61.95
Mihi's 2026 interim payment amount	\$1,300.99

Assuming the GST ratio method is not used to make provisional tax payments, the 2026 interim payment amount is due in 3 instalments: 28 August 2025, 15 January 2026 and 7 May 2026.

A borrower also has the option of estimating their repayment liability at any time up to the date on which the third instalment is due. Any estimate must be reasonable. Once interim payments have been estimated, a borrower may not revert to the standard option for the rest of the year.

See [¶8-105](#) for discussion of shortfall penalties.

Law: SLSA 2011 ss [79–86](#)

Last reviewed on 31 December 2025

Cancellation of interest if consolidated student loan balance repaid early [¶8-090]

[¶8-090]

[Click to open document in a browser](#)

If the Commissioner notifies a borrower of their consolidated loan balance and the loan is repaid within 30 days of the date of such notification, the Commissioner must cancel the interest accruing between the date of notification and the date on which payment is received.

Law: SLSA 2011 s [196](#)

Last reviewed on 31 December 2025

Information sharing between Inland Revenue and Customs regarding student loans [¶8-095]

[¶8-095]

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Section [208](#) enables the exchange of information between IR and the New Zealand Customs Service for the purpose of verifying whether:

- # borrowers are New Zealand-based or overseas-based
- # borrowers are New Zealand residents for the purposes of the Act (eg for determining whether a borrower is eligible for a full interest write-off by being New Zealand-based), and
- # to locate borrowers who are in serious default when they enter or leave New Zealand.

IR will provide Customs with the names, aliases, dates of birth, tax file numbers and passport numbers of student loan borrowers. An information match will occur by Customs comparing the name and date of birth information against any arrival or departure information it holds. If Customs has arrival or departure information relating to any borrower, it will supply IR with the borrower's time and date of arrival or departure.

The Privacy (Information Sharing Agreement between Inland Revenue and Internal Affairs) Order 2014 allows the supply of adult passport information to locate borrowers in serious default. Information is only shared on borrowers who are in default.

From 1 December 2020, it has been clarified that no information may be disclosed under this provision except where either an information matching agreement has been entered into under Pt [10](#) of the Privacy Act 1993 and continued under the Privacy Act 2020, or an approved information sharing agreement has been entered into under subpart [1](#) of Pt [7](#) of the Privacy Act 2020.

Law: SLSA 2011 ss [207–209](#); TAA s [18D](#), Sch [7](#) cl [9](#)

Last reviewed on 31 December 2025

Information sharing between Inland Revenue and Australian Taxation Office regarding student loans [¶8-097]

[¶8-097]

[Click to open document in a browser](#)

Section [209A](#) enables the exchange of information between IR and the Australian Taxation Office (ATO) to obtain or verify contact details of New Zealand student loan borrowers who are, or may be, overseas-based so the student loan scheme can be administered in relation to those borrowers. IR may provide the ATO with the names, aliases, dates of birth, tax file numbers, last known address, contact details and any other relevant information of student loan borrowers.

Law: SLSA 2011 s [209A](#); TAA s [18D](#), [Sch 7 cl 9](#)

Last reviewed on 31 December 2025

Late payment interest and relief on student loans [¶8-100]

[¶8-100]

[Click to open document in a browser](#)

Late payment interest

If a borrower has not paid an amount by the due date and each individual unpaid amount is \$334 or more, late payment interest will be imposed on each amount outstanding at the rate of 8.9% pa for the 2025–26 tax year, calculated as a monthly rate as follows:

- (a) 0.713% of the unpaid amount on the day after its due date, and
- (b) 0.713% of the unpaid amount as at each day that falls one month after the day on which late payment interest was imposed in para (a) above.

In accordance with s [140](#), the Commissioner must notify the borrower as soon as possible, after late payment interest is imposed.

Where an instalment arrangement has been entered into with IR, a lower late payment interest rate of 6.9% will apply from 1 April 2025. This means the rate calculated at a monthly rate of 0.557%.

The same lower rate also applies for a borrower who is in default where the Commissioner has exercised powers under s [157](#) of the TAA to require another person to deduct any amount from moneys payable by that other person to the borrower.

Relief from late payment interest

Relief from late payment interest is available to the borrower when the borrower applies and the Commissioner considers that, having regard to the circumstances, it is equitable to grant relief from late payment interest. The Commissioner can cancel as much of the late payment interest imposed as the Commissioner considers equitable.

Relief for hardship

Borrowers may seek relief from a repayment obligation if the Commissioner is satisfied that the repayment obligation is causing or would cause serious hardship to the borrower (s [147](#)). The Commissioner also has discretion to decrease a repayment obligation if there are other special reasons that would make it fair and reasonable.

The Commissioner may issue a special deduction rate certificate to salary or wage earners if the amount of repayments has been decreased under s [147](#) due to serious hardship (s [148](#)). The certificate may specify a special deduction rate, the repayment code, and the period for which the special rate is to apply. Employees may either provide the certificate to their employer or ask IR to send the certificate directly to them.

Standard Practice Statement [SPS 20/05](#), “Student loan repayment – options for relief”, sets out the practice and procedure that IR will follow when granting relief under the SLSA. Various options available to students for seeking relief from student loan repayments are also covered. These include reducing repayment amounts, a repayment exemption for full-time students or a temporary repayment suspension for New Zealand-based borrowers ([¶2-119](#)). The statement also contains several examples of what constitutes “serious hardship” and “other special reasons” for the purposes of granting relief.

Law: SLSA 2011 ss [139–143](#), [145–148](#)

Last reviewed on 31 December 2025

Student loan time bar [¶8-103]

[¶8-103]

[Click to open document in a browser](#)

The Commissioner is time barred from amending an assessment relating to a student loan repayment obligation that includes an amount of salary or wage deductions after 4 years. Once the 4-year period has passed, the Commissioner may not increase the amount assessed or decrease the amount of a net loss. The time bar will not apply if fraudulent or wilfully misleading information has been provided or where not amending an assessment would result in a significant adverse effect on the borrower. The time bar is also subject to s [64](#) of the SLSA.

Law: SLSA 2011 s [64](#); TAA s [108AC](#)

Last reviewed on 31 December 2025

Shortfall penalties and student loans [¶8-105]

[¶8-105]

[Click to open document in a browser](#)

A borrower may be liable to pay a shortfall penalty for taking an incorrect tax position or for doing or failing to do anything specified in ss [141A–141E](#) of the TAA (Chapter 14).

An incorrect tax position means a position, action or omission that created a shortfall in the income tax paid or payable and has resulted in the borrower having a repayment obligation shortfall (s [158](#) of the SLSA 2011). The amount of the shortfall penalty is calculated according to the formula set out in s [159](#) of the SLSA 2011.

The student loan shortfall penalty can be up to 150% (evasion or similar act) of the shortfall in the borrower's repayment obligation and will be the same percentage rate imposed for the borrower's income tax shortfall. This is designed to ensure that the borrowers who do not comply are penalised on the whole shortfall and not just the income tax amount.

Where the Commissioner imposes a student loan shortfall penalty on a borrower, the Commissioner must notify the borrower in writing of the following:

- # the amount of the student loan shortfall penalty
- # the reasons for the imposition
- # the date on or before which the student loan shortfall penalty must be paid (at least 30 days after notification), and
- # the amount of the repayment obligation shortfall that remains due and payable and whether that amount is subject to late payment interest.

A borrower may challenge the imposition of a student loan shortfall penalty on the ground that it was imposed in error. Where a borrower challenges a shortfall penalty and is successful the Commissioner must reduce or remove the shortfall penalty.

Law: SLSA 2011 ss [157–161](#), [186](#); TAA ss [141A–141E](#)

Last reviewed on 31 December 2025

Criminal offences under the Student Loan Scheme Act [¶8-110]

[¶8-110]

[Click to open document in a browser](#)

The SLSA 2011 includes the criminal offences that apply for income tax purposes under the TAA, such as strict liability offences and knowledge and evasion offences. The same maximum penalty amounts that apply for income tax offences also apply to student loan offences.

The table below summarises the offences and penalties under the SLSA 2011:

	Offence	Penalty
Prejudice employees	Prejudice employees because of student loan (s 163 and ¶8-055)	Maximum of \$2,000 plus ability to award damages
Failure to provide information	Does not provide information or returns to the Commissioner or other person (s 143 of the TAA)	Maximum of: \$4,000 for 1st offence \$8,000 for 2nd offence \$12,000 for subsequent offences (s 143(3)(a)–(c) of the TAA)
Knowledge offences	Knowingly: does not keep documents or provide information or returns gives false, incomplete, misleading or altered information or returns does not make deductions applies deductions to a purpose other than payment to Commissioner (s 143A of the TAA)	Maximum of: \$25,000 for first offence \$50,000 for subsequent offences (s 143A(7) of the TAA) For applying deductions to another purpose, maximum penalty of \$50,000 and/or a maximum term of imprisonment of 5 years (s 143A(8) of the TAA)
Evasion	Commits any of the knowledge offences or pretends to be another person: intending to evade the assessment or payment of a repayment obligation to unlawfully obtain a refund or payment (s 143B of the TAA)	Maximum penalty of \$50,000 and/or a maximum term of imprisonment of 5 years (s 143B(4) of the TAA)
Aiding or abetting	Aids, abets, incites, conspires to commit offence (s 148 of the TAA)	Same maximum fine or term of imprisonment as person who committed offence (s 148(2) of the TAA)
Failure to pay overseas-based repayment obligations	Knowingly fails or refuses to make reasonable efforts to pay, or make arrangement to pay, amount in default (s 162A)	Maximum fine of \$2,000 (s 162(2))

Leaving New Zealand	Leaves or attempts to leave New Zealand when in default of overseas-based repayment obligation and court order in force (s 162B(5))	Maximum fine of \$2,000 or maximum term of imprisonment of 3 months (s 162B(5))
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Law: SLSA 2011 ss [162](#), [162A](#), [162B](#), [163](#); TAA ss [143](#), [143A](#), [143B](#), [148](#)

Last reviewed on 31 December 2025

Transfer of information between loan manager, Inland Revenue and student loan borrower [¶8-115]

[¶8-115]

[Click to open document in a browser](#)

The purposes of ss [10](#), [11](#), [16](#) and [17](#) of the SLSA 2011 are to authorise the transfer of information between the loan manager and the Commissioner so as to:

- # enable the loan manager to confirm the identity of a person who applies for a student loan, and
- # enable the Commissioner to inform borrowers about their consolidated loan balance, and
- # facilitate the transfer of loan advance debts from the loan manager to the Commissioner, and
- # enable the collection of borrowers' consolidated loan balances.

Under s [12](#) the loan manager must provide a copy of the student loan contract within 6 working days after the contract is entered into.

After a contract is entered into, information must be readily accessible in hard copy or via the internet. Information like the loan balance, amounts advanced, any interest charged, the interest rate, and any fees or penalties applied must be disclosed to the borrower at least once every 6 months (ss [19](#) and [20](#)).

Law: SLSA 2011 ss [9–20](#)

Last reviewed on 31 December 2025

Student loan borrowers may object to details of loan advances [¶8-120]

[¶8-120]

[Click to open document in a browser](#)

A borrower can object to the details of a loan advance made to the borrower set out in a notification statement given to the borrower in accordance with s [18](#) of the SLSA 2011.

An objection can only be made if the borrower has reasonable grounds for believing that the details are incorrect. The written objection must:

- # clearly state the reasons for the objection
- # include a copy of the notification provided to the borrower
- # be received by the loan manager on or before the date stated in the notification.

The loan manager must consider all objections made in accordance with s [167](#). If the objection to the loan manager is disallowed, the borrower may require the objection to be determined by the chief executive. If the chief executive disallows the objection, the borrower can apply for a determination of the dispute by a Disputes Tribunal or District Court (ss [169–171](#)).

A loan balance cannot be transferred to IR until the objection has been resolved.

Law: SLSA 2011 ss [167–172](#)

Last reviewed on 31 December 2025

Challenges after transfer of student loan balance to Commissioner [¶8-125]

[¶8-125]

[Click to open document in a browser](#)

Once the loan balance has been transferred to the Commissioner, it is possible for a borrower to dispute any assessment of repayment obligations, notice of interest and penalties charged, assessments of repayment deductions, and penalty repayment obligations and penalty charges.

Section [174](#) of the SLSA 2011 specifies that a person may challenge a matter under Pt [4](#) subpart [5](#) of the SLSA 2011, but only after the disputes process in relation to the matter has been concluded (s [173](#) and Pt [4A](#) of the TAA).

The disputes and challenge procedures are set out in Pts [4A](#) and [8A](#) of the TAA ([¶4-120–¶4-215](#)).

Law: SLSA 2011 ss [173–187](#); TAA Pts [4A](#), [8A](#)

Last reviewed on 31 December 2025

Exemption for voluntary services for charity [¶8-130]

[¶8-130]

[Click to open document in a browser](#)

A borrower may be treated as being physically present in New Zealand (and therefore eligible for the interest write-off) if the main reason they are overseas is because they are working as a volunteer or for token payment for a charity. The Commissioner may treat a borrower (absent on voluntary services) as being physically present in New Zealand for a maximum period of up to 24 months, if it is fair and reasonable to do so.

A borrower who makes the application under s [25\(1\)\(b\)](#) must provide proof that the work undertaken for the charitable organisation is for one or more of the following:

- # to relieve poverty, hunger, sickness or the ravages of war or natural disaster
- # to improve the economy of a country that is on the OECD list of countries receiving development assistance
- # to raise the educational standards of a country that is on the OECD's list of countries receiving development assistance.

The charity must be a listed charity under s [27A](#) and must provide a letter from the organisation to the borrower stating the details of the arrangement. The list can be found on the IR [website](#).

A borrower who is treated as physically present in New Zealand under this exemption will have to provide the Commissioner with details of their adjusted net income (income other than from salary or wages) for each tax year ([Sch 1 cl 11](#)).

Law: SLSA 2011 ss [25\(1\)\(b\)](#), [27A–27E](#), [Sch 1](#)

Last reviewed on 31 December 2025

Exemption for unexpected delay overseas [¶8-135]

[¶8-135]

[Click to open document in a browser](#)

To be eligible for the exemption for unexpected delays overseas, the borrower must:

- # have been tax resident during the time in question
- # provide proof of their intended return to New Zealand, and
- # provide proof that, if the borrower had returned to New Zealand as intended, the borrower would have been New Zealand-based.

In addition, the borrower will need to ([Sch 1 cl 3](#)):

- # provide evidence of the unexpected delay that resulted in them not being able to return to New Zealand as intended, and
- # provide evidence that the unexpected delay was due to an event or circumstances beyond the reasonable control of the borrower (for example, an airline strike, personal illness, a fire, an explosion or act of war).

Example 4 in [IS 25/20](#) illustrates circumstances in which an application for a delay may or may not be applicable.

Law: SLSA 2011 s [25\(1\)\(c\)](#), [Sch 1](#)

Last reviewed on 31 December 2025

Exemption for unplanned absence from New Zealand [¶8-140]

[¶8-140]

[Click to open document in a browser](#)

For an exemption to be granted because of an unplanned absence from New Zealand, the borrower must ([Sch 1 cl 4](#)):

- # have been a New Zealand resident during the time in question
- # provide proof of the duration of the unplanned personal absence from New Zealand, and
- # provide evidence that the unplanned personal absence was due to an event or circumstances beyond the borrower's reasonable planning and control (eg illness or death of a family member who is overseas or the borrower's employer requiring the borrower to attend a conference overseas).

Law: SLSA 2011 s [25\(1\)\(d\)](#), [Sch 1](#)

Last reviewed on 31 December 2025

Exemption for employment or occupation-related absence from New Zealand [¶8-145]

[¶8-145]

[Click to open document in a browser](#)

A borrower making application for an exemption because of an absence from New Zealand for reasons of employment or occupation must ([Sch 1 cl 5](#)):

- # have been a New Zealand resident during the time in question
- # have a permanent place of abode only in New Zealand
- # provide evidence that they receive either
 - # a PAYE income payment derived from New Zealand, or
 - # income from a business that has a permanent place of business in New Zealand, and
 - # provide evidence that the majority of their personal absences from New Zealand are because of their employment or occupation.

Law: SLSA 2011 s [25\(1\)\(e\)](#), [Sch 1](#)

Last reviewed on 31 December 2025

Exemption for accompanying spouse, civil union partner or de facto partner of student loan borrower [¶8-150]

[¶8-150]

[Click to open document in a browser](#)

For the exemption to be granted for reasons of absence to accompany the borrower's wife or husband, civil union partner or de facto partner, the borrower must ([Sch 1 cl 6](#)):

- # have been a New Zealand resident during the time in question
- # provide evidence of their relationship with the person that they accompanied
- # provide evidence that their personal absence from New Zealand was because they were accompanying their wife or husband, civil union partner or de facto partner (partner), and
- # provide evidence that one of the following applies:
 - # the borrower's partner was personally absent from New Zealand in the service in any capacity of the Government of New Zealand or because they were working as a volunteer or for token payment for a charity ([¶8-130](#))
 - # the borrower's partner satisfies the conditions for an exemption for an absence for reasons of employment or occupation ([¶8-145](#)), or
 - # the borrower's partner satisfies the conditions for an exemption for an absence for reasons of studying overseas ([¶8-155](#)).

Law: SLSA 2011 s [25\(1\)\(f\)](#), [Sch 1](#)

Last reviewed on 31 December 2025

Exemption for study at post-graduate or under-graduate level overseas [¶8-155]

[¶8-155]

[Click to open document in a browser](#)

A borrower making application for an exemption from the 183-day personal presence requirement for being absent because of full-time post-graduate or under-graduate studies overseas must:

- # provide the Commissioner with a document from the New Zealand Qualifications Authority (NZQA) verifying that the borrower's course is at post-graduate or under-graduate level for the purposes of the exemption
- # provide the Commissioner with evidence from the borrower's overseas education provider verifying that they are enrolled full-time in the post-graduate or under-graduate course verified by the NZQA, and
- # supply the Commissioner with all other information that the Commissioner may reasonably require to establish whether the exemption applies.

Borrowers enrolled in a course of study with a New Zealand tertiary education provider who are undertaking full-time study overseas as part of their New Zealand qualification may also make an application for exemption where the study:

- # is undertaken as part of either a formal exchange programme approved by the New Zealand Government or a formal agreement between a New Zealand tertiary education provider and an overseas tertiary provider, or
- # is equivalent to level 8 or above on the NZQA Register and cannot be completed in New Zealand.

Examples 5 and 6 in [IS 25/20](#) illustrate 2 scenarios in which the above rules are applied.

Borrowers obtaining an exemption under these provisions will have to provide the Commissioner with details of their adjusted net income (income other than from salary or wages) for each tax year ([Sch 1 cl 11](#)).

The exemption for borrowers studying overseas includes recipients of New Zealand Government-funded scholarships who are studying full-time overseas or undertaking approved internships. The borrower must receive a qualifying government-funded scholarship for the study or the internship and must undertake the study or internship on a full-time basis (unless the internship is combined with study, in which case the internship may be part-time). The borrower must provide evidence from Education New Zealand that they are receiving a qualifying government-funded scholarship in respect of the study or internship.

Law: SLSA 2011 ss [25\(1\)\(g\)](#)–[\(ib\)](#), [176](#), [Sch 1](#)

Last reviewed on 31 December 2025

Student loan borrower may challenge refusal to grant exemption [¶8-168]

[¶8-168]

[Click to open document in a browser](#)

If the Commissioner refuses to grant an exemption, s [176](#) specifies the borrower may challenge that decision on the grounds that:

- # the decision is not fair and reasonable
- # for the exemptions listed in [Sch 1 cls 2–10](#), the decision that the conditions for the exemption have not been satisfied is erroneous
- # the specified start and end dates for the period that the borrower is treated as being physically present in New Zealand are not fair and reasonable or they are erroneous
- # any specified conditions that must be met for the borrower to be treated as being physically present in New Zealand are not fair and reasonable or they are erroneous.

Law: SLSA 2011 ss [25\(1\)\(a\)–\(i\)](#), [176](#), [Sch 1 cls 2–10](#)

Last reviewed on 31 December 2025

Exemption for residents of Niue, Cook Islands, Tokelau, and Ross Dependency [¶8-165]

[¶8-165]

[Click to open document in a browser](#)

A borrower making application for an exemption because they are located in Niue, Cook Islands, Tokelau, and Ross Dependency must:

- pay their repayment obligation in full when, or before, it falls due, and
- provide the Commissioner with evidence that they are physically in one or more of New Zealand, Niue, the Cook Islands, Tokelau, or the Ross Dependency for the period to which the application applies.

Failure to meet these 2 requirements will result in the borrower being treated as an overseas borrower ([¶16-045](#)).

Practically, the borrower should register for a myIR account to check student loan balances and receive correspondence from IR. An [IR1231](#) (September 2024) form can also be uploaded on myIR or posted to IR.

Law: SLSA 2011 s [25\(1\)\(j\)](#), Sch [1](#)

Last reviewed on 31 December 2025